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TENTATIVE RULING

Plaintiff Tadj S. Correia's Motion for Judgment on the Pleadings as to the Fifth and Seventh Causes of Action Pursuant to CCP § 438 is DENIED.

Plaintiff Tadj S. Correia to give notice.

REASONING

Requests for Judicial Notice

Plaintiff Tadj S. Correia ("Plaintiff") requests judicial notice of the complaint and answer filed in this action, and printouts from three government websites showing that Defendant Hirro S. Hadjeri ("Defendant") is not registered in those databases as an investment adviser or with the Financial Industry Regulatory Authority. Plaintiff's request is GRANTED pursuant to Evidence Code section 452, subdivisions (d) and (h).

Plaintiff also requests judicial notice of Defendant's responses to Plaintiff's Requests for Admission, Set One. Plaintiff's request is DENIED, as there is no basis to take judicial notice of these responses, particularly in the context of a reply without giving Defendant opportunity to respond.

Analysis

Fifth Cause of Action: Violation of the California Corporations Code

Corporations Code section 25401 makes it "unlawful for any person to offer or sell a security in this state or buy or offer to buy a security in this state by means of any written or oral communication which includes an untrue statement of a material fact or omits to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading." Corporations Code section 25501 provides that "[a]ny person who violates [Corporations Code s]ection 25401 shall be liable to the person who purchases a security from, or sells a security to, that person, who may sue either for rescission or for damages (if the plaintiff or the defendant, as the case may be, no longer owns the security), unless the defendant proves that the plaintiff knew the facts concerning the untruth or omission or that the defendant exercised reasonable care and did not know (or if the defendant had exercised reasonable care, would not have known) of the untruth or omission."

In the fifth cause of action, Plaintiff alleges that Defendant offered to purchase and sell securities on Plaintiff's behalf and, in doing so, made untrue statements of facts, specifically misrepresenting that he had 40 years of successful investing experience while failing to disclose that he lacked licensure or registration as required or that speculative trading had risks. (Compl. ¶¶ 86-88.) Confusingly, Plaintiff's motion does not focus on these purported misrepresentations, instead relying on a misrepresentation alleged elsewhere in the complaint. If Plaintiff intended for other allegations to serve as the basis of this claim, he should have so alleged or amended his pleading accordingly, but he did not do so. Even if the Court were to rely on the purported misrepresentation as to compensation as alleged in paragraph 29, i.e., that Defendant stated in the power of attorney form that he was not being compensated for providing investment advice, it is not clear as a matter of fact when any compensation arrangement was made, such that the statement could have been true when made. It follows that there is no basis to conclude that Plaintiff has established Defendant's liability under Corporations Code section 25401, and Plaintiff's motion for judgment on the pleadings is, therefore, DENIED as to the fifth cause of action.

Seventh Cause of Action: Violations of the California Corporations Code – Acting as an Unregistered Investment Adviser

Corporations Code section 25230, subdivision (a), makes it “unlawful for any investment adviser to conduct business as an investment adviser in this state unless the investment adviser has first applied for and secured from the commissioner a certificate.” Corporations Code section 1029.8, subdivision (a), provides that “[a]ny unlicensed person who causes injury or damage to another person as a result of providing goods or performing services for which a license is required . . . shall be liable to the injured person for treble the amount of damages assessed in a civil action in any court having proper jurisdiction.”

In the seventh cause of action, Plaintiff alleges that Defendant engaged in the business of advising Plaintiff regarding securities, including by obtaining power of attorney over Plaintiff's E*TRADE account and directing securities transactions on Plaintiff's behalf, making Defendant an “investment adviser” by law, but Defendant was not licensed to do so nor exempt from licensing requirements, and Plaintiff sustained losses to his brokerage account while Defendant benefited by demanding compensation. (Compl. ¶¶ 103-107.)

Plaintiff points to purported “admissions” about Defendant's conduct in the complaint, but the complaint is not evidence, and Defendant has not admitted these facts; rather, Plaintiff has simply alleged them. (See Mot., p. 10, ll. 24-25.) While the judicially noticeable documents may show that Defendant was not a licensed or registered investment adviser, and Defendant does not dispute that he did not have such a license (Opp'n, p. 4, ll. 13-14), the cited text message does not show, as a matter of fact or law, that compensation was paid in exchange for Defendant working as an investment adviser to Plaintiff (Compl. ¶ 35, Ex. B); it simply shows that compensation was required. Plaintiff also fails to show that Defendant was conducting business as an investment adviser, as the judicially noticeable documents show only that Defendant assisted Plaintiff with investment advising in some capacity, not that he was “conducting business” in this way, i.e., this may have been individual advice, such that the Court cannot conclude at this juncture that Plaintiff has satisfied all elements of this claim. Thus, Plaintiff's motion for judgment on the pleadings is DENIED as to the seventh cause of action.

Insofar as Plaintiff seeks judgment on the pleadings as to certain affirmative defenses, the Court DENIES the motion, as Plaintiff fails to provide sufficient notice of this basis for the motion or argument as to the same. (See Mot., p. 16, ll. 1-10.)